

The IRS would still like comments on ways in which the election can be further simplified and whether states or another government entity should be allowed to make an election on behalf of eligible children if an initial Trump account hasn't been created by an authorized individual after a certain period of time. If states take over elections for parents and guardians who don't make them, the states will need a mechanism to track down the eligible children when they turn 18, as they may no longer live in that state. And if there is more than one investment option, rules will be needed about what investment is chosen for children whose accounts are effectively managed by the state. State governments may be reluctant to take on those types of administrative tasks.

The birth rate in the United States has been declining for years, but there are still many children eligible for Trump accounts and for some form of seed money that doesn't have to come from their families' incomes. Brad Gerstner of Altimeter Capital and Invest America, which promoted the Invest America Act on which Trump accounts were based, posted on X that there are 7 million children who are eligible for the \$1,000 contribution from Treasury, 33.5 million who are eligible for the \$250 donation from Michael and Susan Dell, and 32 million who aren't eligible for either. The Dells' gift is available to the first 25 million children registered under age 10 who live in ZIP codes with a median income below \$150,000. Ray Dalio and his wife, Barbara, also announced that they would donate \$250 to 300,000 children under 10 in Connecticut who live in ZIP codes with the same median income.

There is much more to come on Trump accounts, including an inevitable refinement of their purpose in the tax code. If financial education is part of the objective, the code may include a "pink lemonade test" for the first time. ■

Congress Considered Capital Gains Indexation, but Chose Something Else

by Joseph J. Thorndike

Earlier this month, Sen. Ted Cruz, R-Texas, and Senate Finance Committee member Tim Scott, R-S.C., renewed an old request — that Treasury use its regulatory power to index capital gains for inflation. House Republicans echoed the call days later. The policy argument was familiar, and so was the institutional shortcut. (Prior coverage: *Tax Notes Federal*, Mar. 9, 2026, p. 1686; and *Tax Notes Federal*, Mar. 16, 2026, p. 1889.)

There is a case to be made for indexing, at least when it is comprehensive. But the institutional end run — urging Treasury to do something that Congress has repeatedly chosen not to do — is hard to defend.

Like many of the most interesting tax debates, this one is old. Indeed, it reaches back to the early years of the modern income tax, as the Justice Department noted in a pivotal 1992 opinion on Treasury's authority — or lack of authority — to index gains for inflation.

The regulatory theory rested on a claim of ambiguity. If "cost" in section 1012 — the provision defining the basis of property — was open to more than one reading, Treasury might have room to reinterpret it in inflation-adjusted terms. But the proponents of that theory have always had to contend with a long and consistent record: the ordinary meaning of the term, Treasury's own regulatory definition, and legislative history showing that Congress understood exactly what "cost" meant and chose not to change it. (Charles J. Cooper, Michael A. Carvin, and Vincent J. Colatriano, "The Legal Authority of the Department of the Treasury to Promulgate a Regulation Providing for Indexation of Capital Gains" (Aug. 26, 1992).)

Congress Knew What It Was Doing

When Treasury issued its earliest regulations under the 1913 income tax, it defined the cost of acquired property as "the actual price paid" (T.D. 2005). That understanding appeared in published Treasury decisions in 1914 and remained consistent thereafter.

When Congress wrote "cost" into the capital gains provisions of the Revenue Act of 1918,

lawmakers knew what they (and Treasury) meant by the term. They also knew that inflation was a big problem. Consumer prices had risen sharply in both 1917 and 1918, creating large, taxable, inflation-driven gains (Federal Reserve Bank of Minneapolis, “Consumer Price Index, 1913–”).

As the Justice Department later observed, that backdrop virtually guaranteed that some lawmaker would try to ease the burden on taxpayers. The proposal came from Rep. Rufus Hardy, D-Texas, who moved to strike the basis provision from the pending 1918 bill.

During floor debate, Hardy argued that taxing nominal appreciation as gain was manifestly unfair. A taxpayer who bought land in 1913 and sold it in 1918 would have a 100 percent profit, in nominal terms. But that same taxpayer would also be unable to buy more property in 1918 than he could have purchased with the original investment.

Congress understood that inflation increased the size of taxable gains. It just didn't think that called for a change in how cost was defined.

Hardy overstated the arithmetic, but not the underlying point. (Inflation had been running hot but not *that* hot.) Indeed, Hardy's opponents did not challenge his description of the problem. But they pointed out that taxing nominal gains wasn't new, let alone accidental. The basis provision in the 1918 bill didn't actually change anything, explained Rep. John Nance Garner, D-Texas. It was “merely enacting into law the rules and regulations now in force under the present statute,” he said.

House Ways and Means Chair Claude Kitchin, D-N.C., made the same point, insisting that the provision “makes absolutely no change in existing law.” And Rep. Joseph Fordney, R-Mich., tried to put the rule in plain language for his colleague: The gain on an asset held for a decade, he said, was obviously and necessarily “the difference between the price paid for it 10 years ago and the price you sell it for today.”

Hardy's proposal failed. Congress understood that inflation increased the size of taxable gains. It just didn't think that called for a change in how cost was defined. Lawmakers chose to define cost

in its conventional sense — the amount paid, not the amount adjusted for inflation. That choice was deliberate — and central to the debates that followed.

Preference Not Indexation

In 1921 Congress acknowledged that capital gains deserved some sort of special treatment; lawmakers established a maximum rate of 12.5 percent on capital gains at a time when ordinary rates reached as high as 58 percent. But as law professor Lawrence Zelenak pointed out in an influential 1992 *Tax Notes* article, Congress was primarily concerned about bunching and lock-in, not inflation. As a result, lawmakers responded not with indexation but with a rate preference. (Prior analysis: *Tax Notes*, May 11, 1992, p. 841.)

By 1934, however, Congress was explicitly linking capital gains relief to inflation. The Ways and Means Committee acknowledged that in many cases, the capital gains tax fell on “the mere increase in monetary value resulting from the depreciation of the dollar instead of on a real increase in value.”

Even so, Congress did not alter the definition of basis. Instead, lawmakers opted to soften the burden through preferential treatment, keeping the nominal-basis rule in place and adjusting around it. As the Justice Department's Office of Legal Counsel (OLC) concluded in 1992, lawmakers “chose to mitigate the effects of inflation on capital assets by granting preferential treatment to capital gains — not by indexing cost.” (OLC made that observation in relation to the 1921 legislation, which may overstate the importance of the inflation motive at that point. But as Zelenak pointed out, inflation was clearly on the collective legislative mind in 1934.)

Over the decades that followed, Congress kept changing the preference — sometimes through exclusions, sometimes through rate caps, and briefly by eliminating the preference altogether in 1986. But through it all, lawmakers left the definition of basis intact.

The justice of a preference may have been rough, but the legislative choice was deliberate.

Congress Chooses the Cruder Tool

In 1978 high inflation revived serious interest in indexation. The House even acted on the idea,

passing an amendment (sponsored by Rep. Bill Archer, R-Texas) that would have indexed capital gains on stocks, personal property, and real estate.

But the Senate Finance Committee had other ideas. Rather than indexing basis, lawmakers in the upper chamber raised the capital gains exclusion from 50 percent to 60 percent. The enacted bill followed the Senate's approach.

Once again, the legislative choice was revealing. Lawmakers had considered indexing and even approved it in one chamber. But they then ultimately rejected it for a rougher but simpler substitute. The Joint Committee on Taxation explained the decision:

The Congress believed that an increased capital gains deduction would tend to offset the effect of inflation by reducing the amount of gain which is subject to tax. However, since the deduction is constant, unlike the adjustments generally provided for in various indexation proposals, it is much simpler and should not tend to exacerbate inflation.

Bruce Bartlett, incidentally, quoted this explanation in his excellent 2012 article for *Tax Notes*. He also underscored the overriding importance of finding simple solutions to the complex problem of inflation-driven gains. "The administrative ease of simply having a lower rate on capital gains in lieu of indexing is critically important," he wrote. "All capital gains indexing schemes introduce a great deal of complexity to the tax code." (Prior analysis: *Tax Notes*, May 14, 2012, p. 883.)

On three more occasions between 1982 and 1992, indexation cleared one chamber only to be stripped in conference: a Senate provision in the 1982 Tax Equity and Fiscal Responsibility Act, a House provision in the Omnibus Budget Reconciliation Act of 1989, and a House provision in the Tax Fairness and Economic Growth Act of 1992. Each time, Congress came close to indexation; each time, lawmakers chose something else.

Indexing by Regulation

By early 1992, that pattern of near misses had produced a new theory: If Congress couldn't get the job done, maybe Treasury could.

The idea began to attract attention in January 1992 thanks to a *Washington Times* column by economist Paul Craig Roberts and a subsequent editorial in *The Wall Street Journal* ("Instant Way to Cut Capital Gains Tax," *The Washington Times*, Jan. 22, 1992; and "Presidential Indexation," *The Wall Street Journal*, Jan. 28, 1992). As debate heated up, Zelenak offered one of the first serious evaluations of the idea, concluding that regulatory indexation would be invalid. Ironically, he was among the first to identify that indexation would probably be immune from judicial challenge because, absent deflation, no taxpayer would be disadvantaged enough to establish standing. (Prior analysis: *Tax Notes*, May 11, 1992, p. 841.)

Meanwhile, the National Taxpayers Union Foundation and the National Chamber Foundation (NCF) hired Charles Cooper, Michael Carvin, and Vincent Colatriano to make an affirmative case for regulatory indexing. The resulting NCF memorandum argued that "cost" was ambiguous enough to leave a gap for Treasury to fill under *Chevron U.S.A. Inc. v. Natural Resources Defense Council Inc.*, 467 U.S. 837 (1984) — the then-controlling doctrine requiring courts to defer to reasonable agency interpretations of ambiguous statutes.

The three authors relied heavily on history to buttress their claim. "The term 'cost' is ambiguous and is readily amenable to a construction that takes account of inflation," they wrote. "And in neither the language nor the legislative history of the IRC has Congress clearly and directly addressed the 'precise issue' of the meaning of 'cost' or otherwise evidenced an intent to limit its meaning to original purchase price."

Treasury's general counsel rejected the NCF argument for regulatory indexing. So did the OLC in a September 1, 1992, opinion requested by Treasury. "Cost" as defined in section 1012 was not, in fact, ambiguous at all, the opinion concluded. In defense of that conclusion, OLC pointed to a host of factors: the ordinary meaning of cost, Treasury's consistent interpretation of the term since 1914, the absence of any inflation adjustment in the code's detailed list of basis adjustments, Congress's express use of inflation indexing elsewhere in the code, and the legislative history from 1918 forward — especially the 1921

preference and the 1978 rejection of the Archer amendment. All these factors pointed to the same conclusion: There was no statutory gap for Treasury to fill.

The White House accepted that conclusion. On September 3, 1992, press secretary Marlin Fitzwater issued a statement expressing disappointment that “neither the President nor the Treasury Secretary nor the commissioner of the IRS has the authority to act” unilaterally. President George H.W. Bush then instructed Treasury to pursue indexation legislatively.

Reflecting in 1993 on the Justice Department’s opinion, Attorney General William Barr cast the OLC’s conclusion in notably stark terms. “The question was clear: Can we, simply through administrative action, index capital gains?” Barr said. “Not only did I not think we could, I did not think that a reasonable argument could be made to support that position.” (Jane G. Gravelle, “Indexing Capital Gains Taxes for Inflation,” Congressional Research Service R45229 (updated July 24, 2018).)

The Idea That Would Not Die

The 1992 OLC opinion did not end the argument over indexing. Bob Dole pledged unilateral action during his 1996 presidential campaign (reportedly at the urging of his running mate, Jack Kemp). (Richard W. Stevenson, “Dole Tax Plan Would Shelter Some Gains,” *The New York Times*, Oct. 23, 1996.) *The Wall Street Journal* tried to revive the theory in 2006 (“Counting Capital Gains,” *The Wall Street Journal*, Oct. 3, 2006). Cooper and Colatriano returned in 2012 with a sequel arguing that the Supreme Court’s decision in *Verizon Communications Inc. v. Federal Communications Commission*, 535 U.S. 467 (2002) — which described “cost” as a “chameleon” in a case about telecommunications rate-setting — had weakened OLC’s analysis. (Cooper and Colatriano, “The Regulatory Authority of the Treasury Department to Index Capital Gains for Inflation: A Sequel,” 35(2) *Harv. J.L. & Pub. Pol’y* 487 (2012).)

Not everyone thought *Verizon* changed anything. As Daniel Hemel and David Kamin explained in 2019, the decision did not undermine OLC’s analysis. If anything, it reinforced it. Hemel and Kamin wrote that the Court stressed that cost

takes its meaning from statutory context, noting that the context of section 1012 — including the code’s detailed basis rules, its omission of inflation adjustments for capital gains, and Treasury’s consistent interpretation — cuts firmly against indexation. (Hemel and Kamin, “The False Promise of Presidential Indexation,” 36 *Yale J. on Regul.* 693 (2019).)

A regulatory theory that failed even under the deferential *Chevron* framework has an even weaker footing without it.

President Trump’s first term produced the next serious revival, with Larry Kudlow and Grover Norquist among those pressing for executive action in 2017 and 2018. But in the years since, the legal case for regulatory indexing has only gotten worse. The NCF memorandum in 1992 depended heavily on *Chevron* deference. But after the Supreme Court overturned *Chevron* in *Loper Bright Enterprises Inc. v. Raimondo*, 603 U.S. 369 (2024), the NCF argument was mortally wounded. A regulatory theory that failed even under the deferential *Chevron* framework has an even weaker footing without it.

The Historical Verdict

Ultimately, doctrine matters less than history in this story about regulatory indexing.

The NCF memorandum tried mightily to make a historical argument for regulatory action. Congress’s repeated single-chamber-passed indexation proposals, it argued, showed that Congress “favors the concept of indexing capital gains” — and that Treasury could act on that preference.

But the historical record points in precisely the opposite direction.

Yes, Congress repeatedly entertained indexation. But it also repeatedly chose other tools: preferential treatment in 1921, a larger exclusion in 1978, and a capped rate in 1990. As OLC noted in its rejection of the NCF argument:

Whenever Congress has been faced with a choice of different methods for dealing with the impact of inflation on capital gains, it has chosen some means other

than indexation. Indeed, it has specifically rejected indexation in favor of the capital gains preference.

To be clear, the policy case for indexation is real enough (assuming it's done properly). But that sort of policy reform is a job for Congress, not Treasury. Congress can index capital gains whenever it wants, but Treasury can't do it on its own. ■

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